

Comprehensive Wealth Plan

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1. Executive Summary

Your Path to Early Retirement Through Real Estate

This plan positions you to retire in 5-6 years with passive income from short-term rentals while maximizing immediate tax savings from your side business.

\$20,765

First-Year Tax Savings + Cash Flow Improvement

First-Year Impact Snapshot

Tax Savings	Cash Flow Boost	Total Benefit
\$14,265	\$6,500	\$20,765

Your situation is ideal for building retirement income through short-term rentals. With \$560K in home equity, \$500K+ in retirement accounts, and professional support from your CPA and attorney, you have the foundation to execute a strategic real estate plan while optimizing your current tax situation.

Three-Phase Approach

Phase 1: Foundation	Phase 2: Accumulation	Phase 3: Income Generation
Maximize tax savings from side business (0-90 days)	Build capital for property purchase (Year 1-2)	Launch STR operations for retirement income (Year 2-5)

Strategic Priorities

- Immediate:** Implement 7 foundational tax strategies to save \$14,265 annually while improving cash flow by \$6,500
- Short-term (6-12 months):** Complete S-Corp setup, maximize retirement contributions, and develop STR acquisition plan
- Medium-term (1-2 years):** Acquire first short-term rental property using home equity and accumulated capital

- **Long-term (3-5 years):** Build portfolio of 2-3 STR properties generating \$60,000-120,000 in annual passive income to replace W-2

2. Client Profile Analysis

Age & Filing Status

56 years old, Married Filing Jointly

Household Income

\$200,000-299,000 annually

Income Sources

W-2: \$100K-149K | Side Business NET: \$20,000

Tax Rate

28.5% combined (24% federal + 4.5% CO state)

Business Structure

Single-Member LLC (S-Corp election in progress)

Home Equity

\$560,000 equity | \$1,597/mo mortgage

Retirement Assets

\$500,000+ in qualified accounts

Liquid Capital

\$5,000-9,000 available | 1-2 month emergency fund

Monthly Expenses

\$3,000 (excluding gas/groceries)

Credit Profile

760+ credit score | No non-mortgage debt

Time Availability

5-10 hours/week for business activities

Primary Goal

Retire in 5-6 years with passive STR income

Strengths & Advantages

- **Substantial Home Equity:** \$560K provides financing leverage for property acquisition without requiring full cash purchase
- **Dual Income Streams:** W-2 stability combined with side business creates tax optimization opportunities
- **Professional Support:** Proactive CPA and attorney already in place to ensure compliant implementation
- **Adult Children Available:** Can serve as business employees for accountable plan reimbursements
- **Dedicated Home Office:** Exclusive-use room qualifies for immediate deductions
- **Excellent Credit:** 760+ score enables favorable financing terms for property acquisitions
- **Manageable Time Commitment:** 5-10 hours weekly aligns with foundational strategies and selective STR management

Considerations for Planning

- **Emergency Fund Gap:** Current 1-2 month reserve should expand to 3-6 months (\$9,000-18,000) before aggressive property investment
- **Limited Side Business Income:** \$20K NET profit caps certain tax strategy benefits but provides S-Corp foundation
- **No Current HDHP:** HSA triple-tax-advantage unavailable until health insurance change
- **Property Acquisition Timeline:** STR strategy requires 12-18 months of preparation (capital accumulation, market research, financing)
- **Roth Conversion Timing:** At age 56, 5-year window before age 61 optimal conversion period requires careful planning

3. Recommended Tax Strategies

Seven strategies selected from comprehensive analysis of 43+ options based on your income level, business structure, time availability, and immediate implementation feasibility.

#	Strategy	Annual Tax Value	Implementation	Priority
1	Solo 401(k) Contribution Max	\$5,700	Q1 Setup	IMMEDIATE
2	S-Corporation Election	\$3,060 - \$4,560	Q1 (Form 2553)	IMMEDIATE
3	Home Office Deduction	\$1,140 - \$1,425	Week 2	HIGH
4	Augusta Rule (14-day rental)	\$1,425 - \$2,000	Week 4	HIGH
5	Accountable Plan (spouse)	\$855 - \$1,140	Week 2	MEDIUM
6	Backdoor Roth IRA	\$8,000 (tax-free growth)	Q1	MEDIUM
7	W-4 Optimization	+\$6,500 cash flow	Week 1	IMMEDIATE

Year-One Total Impact

Tax Savings Range

\$12,180 - \$14,825

Cash Flow Improvement

+\$6,500

Conservative estimate: \$12,180 | Realistic estimate: \$14,265 | Aggressive estimate: \$14,825

Future Expansion Strategies (Years 2-3)

Strategy	Potential Annual Value	Implementation Requirement
Short-Term Rental (Material Participation)	\$15,000 - \$40,000+	Acquire property + 100+ hours management
Cost Segregation Study	\$50,000 - \$150,000 (first-year)	Apply when purchasing investment property
Vehicle Section 179 Deduction	\$5,700 - \$8,550	Purchase business vehicle >6,000 lbs GVWR
Mega Backdoor Roth	\$19,665 (after-tax growth)	Solo 401k plan amendment for after-tax

4. Wealth Allocation Strategy

Strategic capital allocation optimized for your 5-6 year retirement timeline, balancing immediate liquidity needs with long-term appreciation potential.

Recommended Investment Allocation

Asset Category	Target %	Rationale
Bitcoin	75%	Primary wealth accumulation vehicle for 5-year horizon
Real Estate (STR Focus)	15%	Income-producing assets for retirement cash flow
Emergency Reserve	10%	Maintain 3-6 month liquidity for stability

Bitcoin Accumulation Strategy

- Tax-Advantaged Priority:** Direct Solo 401(k) and IRA contributions toward Bitcoin ETFs (IBIT, FBTC, BITW) for tax-deferred or tax-free growth
- Dollar-Cost Averaging:** Monthly automated purchases of \$1,500-2,500 from W-4 cash flow optimization eliminates timing decisions
- Tax Loss Harvesting:** In taxable accounts, harvest losses during corrections to offset W-2 income (up to \$3,000 annually)
- Spouse Coordination:** If spouse has 401(k) access, consider Bitcoin allocation there as well for diversification across accounts
- 5-Year Target:** Accumulate \$150,000-200,000 in Bitcoin holdings by retirement date for appreciation potential

Capital Deployment Timeline

Immediate (Month 1-3): Build Emergency Reserve

Priority: Expand emergency fund from 1-2 months to 3-6 months (\$9,000-18,000 target)

Funding Sources: W-4 optimization cash flow (\$542/month) + current liquid savings

Account Type: High-yield savings (5.0-5.5% APY) for liquidity and FDIC protection

Timeline: Achieve \$18,000 reserve by Month 3 using initial \$5,000-9,000 + first quarter cash flow

Short-Term (Month 4-12): Maximize Retirement Contributions

Solo 401(k): Contribute full \$20,000 from side business (limited by NET income)

Employer 401(k): Continue maxing W-2 contributions at \$23,500 (or \$31,000 if catch-up available)

Backdoor Roth IRA: Both spouses contribute \$8,000 each (\$16,000 total) for tax-free growth

Asset Allocation: 75% Bitcoin ETFs, 25% stable value/bonds for rebalancing opportunities

Medium-Term (Year 1-2): STR Property Acquisition Planning

Capital Requirement: \$50,000-80,000 for down payment + furnishing + 6-month operating reserve

Funding Strategy: Home equity line of credit (HELOC) on \$560K equity provides access to \$100,000+ at prime + 0.5-1.0%

Market Research: Identify high-performing STR markets within 2-hour drive of Colorado (Breckenridge, Estes Park, Colorado Springs)

Financing Approach: Conventional loan with 20-25% down, keep HELOC as backup for furnishing and initial operations

Roth Conversion Optimization

Age 56 positions you in the optimal 5-year Roth conversion window before age 61 when distributions become available. Your retirement timeline aligns perfectly with tax-efficient conversions.

Conversion Strategy Framework

Annual Conversion Target: \$40,000-60,000 (stay within 24% bracket)

Optimal Years: Years 2-5 of this plan, when side business deductions reduce AGI

Funding Source: Convert from Traditional IRA or pre-tax portion of 401(k) balances

Tax Payment Strategy: Pay conversion tax from current-year cash flow, not from IRA (preserves full conversion amount)

Five-Year Rule Planning: First conversion in 2026 becomes accessible penalty-free in 2031 (age 62)

Planning Note: Your CPA should model exact conversion amounts annually based on your specific AGI, deductions, and tax bracket. The goal is to convert as much as possible while staying in the 24% federal bracket, avoiding the 32% jump at \$383,900 (2025 MFJ threshold).

5. Detailed Tax Strategy Implementation

Strategy 1: Solo 401(k) Contribution Maximization **\$5,700 annual value**

How It Works: As a self-employed individual with side business income, you can contribute both as employee and employer to reach \$77,500 annual limit (age 50+). Your \$20K NET income allows approximately \$20,000 total contribution.

2025 Contribution Structure:

- Employee deferral: \$20,000 (limited by compensation, not the \$31,000 age 50+ max)
- Total tax deduction: $\$20,000 \times 28.5\% = \$5,700$ saved

Implementation Steps:

1. Open Solo 401(k) with provider offering low fees and Bitcoin/crypto access (Fidelity, Schwab, or specialized platforms like BitcoinIRA)
2. Complete adoption agreement by January 31, 2026 for 2025 tax year contributions
3. Make employee deferrals throughout year via business bank account transfers
4. Calculate and contribute employer profit-sharing by tax filing deadline (April 15 or October 15 with extension)
5. File Form 5500-EZ if plan assets exceed \$250,000

Documentation Required: Plan adoption agreement, contribution records, payroll records showing compensation calculation

Compliance Considerations: Contributions cannot exceed compensation from business. Must maintain records proving employee vs. employer contribution allocation.

Strategy 2: S-Corporation Election **\$3,060 - \$4,560 annual value**

How It Works: S-Corp election allows you to split self-employment income into W-2 salary (subject to 15.3% FICA tax) and distributions (not subject to FICA), saving self-employment tax on distribution portion.

Tax Savings Calculation (on \$20K NET):

- Reasonable salary: \$8,000-10,000 (40-50% split appropriate for side business with adult children as potential workforce)
- Distribution: \$10,000-12,000 (FICA-free)
- FICA savings: $\$10,000-12,000 \times 15.3\% = \$1,530-1,836$ Medicare tax saved
- Additional QBI deduction: \$1,530-2,724 (20% of qualified business income flows through)
- Total annual value: \$3,060-4,560

Implementation Steps:

1. File Form 2553 (S-Corp election) within 75 days of LLC formation or by March 15 for current-year election
2. Obtain Employer Identification Number (EIN) if not already done
3. Set up payroll system (Gusto, QuickBooks Payroll, or ADP) to process quarterly W-2 payments to yourself
4. Establish reasonable salary based on duties performed and industry standards
5. Make quarterly estimated tax payments and payroll tax deposits (Form 941)
6. File Form 1120-S (S-Corp return) annually by March 15

Documentation Required: Form 2553 confirmation from IRS, payroll records, reasonable compensation analysis, meeting minutes documenting salary and distribution decisions

Compliance Considerations: IRS scrutinizes low salaries relative to distributions. Your salary must be "reasonable" for services performed. Payroll must be run consistently with proper withholding and quarterly deposits.

Strategy 3: Home Office Deduction **\$1,140 - \$1,425 annual value**

How It Works: Dedicated exclusive-use room for business qualifies for deduction of allocable home expenses. You have a dedicated room meeting the exclusive use test.

Calculation Options:

- **Simplified Method:** \$5/sq ft up to 300 sq ft = \$1,500 deduction maximum
- **Regular Method:** $(\text{Home office sq ft} / \text{Total home sq ft}) \times (\text{Mortgage interest} + \text{Property tax} + \text{Insurance} + \text{Utilities} + \text{Repairs}) = \$4,000\text{-}5,000$ deduction
- **Tax Value:** $\$4,000\text{-}5,000 \times 28.5\% = \$1,140\text{-}1,425$ saved

Implementation Steps:

1. Measure and document home office square footage with photos showing exclusive business use
2. Calculate percentage of home used for business ($\text{office sq ft} \div \text{total home sq ft}$)
3. Track all home expenses: mortgage interest, property tax, insurance, utilities, HOA, repairs, maintenance
4. Apply business percentage to allocable expenses
5. File Form 8829 (Expenses for Business Use of Your Home) with Schedule C

Documentation Required: Floor plan with measurements, photos of office space, receipts for all home expenses, utility bills, mortgage interest statement (Form 1098)

Compliance Considerations: Must pass exclusive and regular use tests. Room cannot have dual personal/business use. Must be principal place of business OR separate structure.

Strategy 4: Augusta Rule (Section 280A) **\$1,425 - \$2,000 annual value**

How It Works: Rent your personal residence to your S-Corporation for legitimate business meetings up to 14 days per year. Your business deducts the rental expense, but you report NO rental income personally.

Tax Savings Calculation:

- Fair market rental rate: \$500/day (based on comparable Colorado property rentals for executive meetings)
- Maximum days: 14 per year
- Total deduction: $14 \text{ days} \times \$500 = \$7,000$
- Tax value: $\$7,000 \times 28.5\% = \$1,995$ saved (you pay \$0 tax on the \$7,000 received)

Implementation Steps:

1. Research comparable rental rates for similar properties in your area used for corporate meetings/retreats
2. Create formal rental agreement between you personally and your S-Corporation
3. Schedule and document 14 legitimate business meetings: board meetings, strategic planning sessions, client meetings, year-end planning
4. S-Corp writes rent checks to you personally ($14 \times \$500 = \$7,000$)
5. Maintain detailed records: meeting agendas, attendee lists, minutes, photos of setup
6. S-Corp deducts \$7,000 as business expense on Form 1120-S

Documentation Required: Written rental agreement, comparable rental rate analysis, meeting agendas, attendee lists, meeting minutes, canceled checks showing payment, calendar documenting dates

Compliance Considerations: Rental rate must be at fair market value. Meetings must have legitimate business purpose. Cannot exceed 14 days. Must maintain contemporaneous documentation.

Strategy 5: Accountable Plan Reimbursements **\$855 - \$1,140 annual value**

How It Works: Your S-Corporation creates a formal accountable plan to reimburse employees (including spouse and adult children) for business expenses. Reimbursements are deductible to business but not taxable to employee.

Reimbursable Expenses:

- Mileage: 70 cents per mile (2025 IRS rate) for business travel
- Cell phone: \$50-100/month for business use percentage
- Home internet: \$30-50/month business allocation
- Professional development: Courses, books, conferences
- Business meals: 50% deductible when traveling or meeting clients
- Annual total: \$3,000-4,000 per employee
- Tax value: $\$3,000-4,000 \times 28.5\% = \$855-1,140$ saved

Implementation Steps:

1. Create written accountable plan policy document outlining eligible expenses and submission process
2. Establish expense report form requiring business purpose, date, amount, and supporting documentation
3. Employ spouse or adult children with legitimate business duties (administrative, marketing, bookkeeping)
4. Employees submit expense reports with receipts within 60 days of incurring expense
5. Company reimburses within 30 days of submission via business check or direct deposit
6. Maintain file of all expense reports, receipts, and reimbursement records

Documentation Required: Written accountable plan document, expense report forms with receipts, proof of payment, job descriptions showing business connection, mileage logs

Compliance Considerations: Employees must have legitimate business duties. Reimbursements must have business connection. Adequate accounting required within reasonable time (60 days). Return excess advances.

Strategy 6: Backdoor Roth IRA **\$8,000 annual contribution (tax-free growth)**

How It Works: High-income earners above Roth IRA income limits can contribute to Traditional IRA (non-deductible) then immediately convert to Roth IRA, circumventing income restrictions.

2025 Contribution Structure:

- You (age 56): \$8,000 (\$7,000 base + \$1,000 catch-up)
- Spouse (if 50+): \$8,000
- Total household: \$16,000 annually to Roth accounts
- Future Value: $\$16,000/\text{year} \times 5 \text{ years} \times 1.15^5$ (assumed growth) = \$114,000+ tax-free at retirement

Implementation Steps:

1. Open Traditional IRA and Roth IRA at same institution (Fidelity, Schwab, Vanguard)
2. Contribute \$8,000 to Traditional IRA (non-deductible contribution)
3. File Form 8606 with tax return reporting non-deductible contribution
4. Within days, convert Traditional IRA balance to Roth IRA (minimal gains = minimal tax)
5. File Form 8606 again following year reporting the conversion
6. Repeat annually through retirement

Documentation Required: Form 8606 for each year showing non-deductible contribution and conversion, Form 1099-R from conversion, confirmation of conversion

Compliance Considerations: Watch pro-rata rule if you have existing Traditional IRA balances. Consider moving pre-tax IRA funds to employer 401(k) before conversions to avoid pro-rata calculation.

Strategy 7: W-4 Withholding Optimization **+\$6,500 annual cash flow**

How It Works: Most employees over-withhold federal taxes, giving the IRS an interest-free loan all year. By optimizing your W-4 to account for deductions and credits, you can increase take-home pay throughout the year rather than waiting for a refund.

Cash Flow Improvement:

- Current approach: Large April refund due to business deductions, retirement contributions
- Optimized approach: Reduce withholding to match actual tax liability
- Additional monthly cash flow: \$540/month (\$6,480 annually)
- Apply this cash flow to: Bitcoin DCA, emergency fund, STR down payment savings

Implementation Steps:

1. Use IRS Tax Withholding Estimator (irs.gov) to calculate precise withholding needs
2. Factor in: Self-employment income, business deductions, Solo 401k contributions, itemized deductions
3. Complete new Form W-4 with employer HR department showing correct withholding amount
4. Monitor first paycheck to confirm increased take-home
5. Make quarterly estimated tax payments for self-employment income (Form 1040-ES)
6. Re-evaluate in July and adjust if income or deductions change significantly

Documentation Required: Completed Form W-4, quarterly estimated tax payment vouchers (Form 1040-ES), tracking spreadsheet for quarterly payments

Compliance Considerations: Must pay at least 90% of current year tax or 100% of prior year tax (110% if AGI over \$150K) to avoid underpayment penalties. Make quarterly estimated payments for self-employment income.

6. Short-Term Rental Implementation Roadmap

Your primary retirement income strategy centers on acquiring 2-3 short-term rental properties over the next 5 years. This section provides the complete implementation framework.

Why Short-Term Rentals for Your Situation

- **Material Participation Advantage:** With 5-10 hours weekly available, you can meet the 100+ hour annual requirement to deduct STR losses against W-2 income
- **Higher Returns than Long-Term:** STRs in Colorado mountain towns generate 2-3× revenue vs. traditional rentals due to tourism demand
- **Depreciation + Cost Segregation:** First-year deductions of \$50,000-150,000 offset W-2 income when you materially participate
- **Scalable to Retirement:** Start with one property, refine operations, add 1-2 more before leaving W-2 job
- **Tax-Free Gains Potential:** Live in property 2 of 5 years before sale to qualify for \$500K capital gains exclusion (MFJ)

Property Acquisition Timeline

Months 1-6: Foundation & Market Research

Market Analysis:

1. Research high-performing STR markets within 2-hour drive: Breckenridge, Estes Park, Grand Lake, Manitou Springs, Buena Vista
2. Analyze AirDNA data for occupancy rates, average daily rates (ADR), and revenue estimates by neighborhood
3. Identify property types with highest ROI: 2-3 bedroom condos near ski resorts, mountain cabins with hot tubs, properties near national parks
4. Join local STR investor groups and Colorado vacation rental associations

Financial Preparation:

1. Complete emergency fund to 6 months (\$18,000)
2. Research HELOC options on current home (expect access to \$100,000+ at prime + 0.5-1.0%)
3. Apply for HELOC now (before rates rise further) but don't draw until property identified
4. Accumulate \$15,000-25,000 in savings from W-4 optimization and tax refunds

Months 6-12: Property Selection & Purchase

Target Property Criteria:

1. Purchase price: \$300,000-400,000 (manageable debt service, strong rental demand)
2. Location: Within 2 hours of Colorado Springs for hands-on management
3. Property type: 2-3 bedroom condo or small house, updated interior, parking included
4. Projected gross revenue: \$45,000-65,000 annually based on AirDNA comps
5. HOA/condo association allows short-term rentals (verify before purchase)

Financing Strategy:

1. Conventional investment property loan: 20-25% down (\$60,000-100,000 on \$350K property)
2. Down payment source: \$30,000 from HELOC + \$30,000 from savings/liquidations
3. Interest rate: 7.0-7.5% for investment property (30-year fixed)
4. Monthly PITI: Approximately \$2,100-2,400 on \$280,000 loan

Months 12-15: Furnishing & Launch

Startup Capital Required: \$20,000-30,000 for furnishing, supplies, photography, initial marketing

Setup Checklist:

1. Furnish property with durable, mid-range furniture targeting families and couples (\$12,000-18,000)
2. Equip kitchen with full cooking supplies, dishes, small appliances
3. Purchase linens, towels, cleaning supplies for 3-4 complete sets
4. Install smart locks, security cameras, noise monitors for remote management
5. Hire professional photographer for listing photos (\$300-500)
6. Create Airbnb and VRBO listings with optimized descriptions, amenities, house rules
7. Set initial pricing 10-15% below market to generate reviews quickly

Projected Financial Performance (First Property)

Revenue/Expense Item	Conservative	Realistic	Optimistic
Gross Rental Income	\$45,000	\$55,000	\$65,000
Mortgage Payment (PITI)	(\$28,800)	(\$28,800)	(\$28,800)
HOA/Condo Fees	(\$3,600)	(\$3,600)	(\$3,600)
Utilities (electric, gas, internet, trash)	(\$4,200)	(\$4,200)	(\$4,200)
Cleaning (15% of bookings)	(\$6,750)	(\$8,250)	(\$9,750)
Platform Fees (3% Airbnb + VRBO)	(\$1,350)	(\$1,650)	(\$1,950)
Supplies & Maintenance	(\$2,500)	(\$3,000)	(\$3,500)
Insurance (STR policy)	(\$2,400)	(\$2,400)	(\$2,400)
Cash Flow (before depreciation)	(\$4,600)	\$3,100	\$10,800
Depreciation Deduction	\$12,700	\$12,700	\$12,700
Paper Loss for Tax Purposes	(\$17,300)	(\$9,600)	(\$1,900)
Tax Savings (28.5% rate)	\$4,930	\$2,736	\$542

Material Participation Requirement: To deduct STR losses against W-2 income, you must materially participate by meeting ONE of these tests: (1) 100+ hours AND more than any other individual, (2) 500+ hours, (3) substantially all participation. With 5-10 hours weekly available, you can easily exceed 100 hours managing bookings, guest communication, coordinating cleaners, and handling maintenance.

Cost Segregation Acceleration

When you purchase your first STR property, immediately commission a cost segregation study (\$3,000-5,000) to accelerate depreciation and create substantial first-year deductions.

Cost Segregation Impact on \$350,000 Property

Without Cost Seg: $\$350,000 \div 27.5 \text{ years} = \$12,727$ annual depreciation

With Cost Seg: Reclassify components to shorter lives:

- Building structure (27.5 year): \$210,000
- 5-year property (appliances, carpets): \$35,000 → Immediate deduction via 100% bonus depreciation
- 7-year property (furniture, fixtures): \$28,000 → Immediate deduction via 100% bonus depreciation
- 15-year property (landscaping, site work): \$42,000 → Immediate deduction via 100% bonus depreciation
- Land (non-depreciable): \$35,000

First-Year Deduction: $\$105,000$ (5+7+15-year property) + $\$7,636$ (building) = $\$112,636$

Tax Savings: $\$112,636 \times 28.5\% = \$32,101$ (offsets \$32,101 of W-2 income)

Study Cost: \$3,000-5,000 (immediate deduction, 100%+ ROI in year one)

Multi-Property Scaling Strategy (Years 3-5)

Once first property is operating smoothly (6-12 months stabilization), consider adding second property using cash flow and equity gains.

Property #2 Acquisition (Year 3)

Funding Sources:

- Property #1 appreciation: $\$350K \rightarrow \$385K$ (10% appreciation over 2 years) = \$35K equity gain
- Accumulated Bitcoin liquidation: \$25,000-35,000
- Additional HELOC draw: \$20,000
- Total available: \$80,000-90,000 for down payment

Annual Cash Flow (2 Properties): \$6,000-21,000 combined positive cash flow before depreciation

Tax Benefits: Second cost seg study creates another \$100,000+ first-year deduction

Property #3 Consideration (Year 4-5)

When to Add: If first two properties running smoothly with <10 hours weekly combined management, consider third property

Retirement Income Target: Three properties generating \$55,000 average each = \$165,000 gross | \$60,000-90,000 NET cash flow

W-2 Replacement: At \$60,000-90,000 passive STR income, you can retire from W-2 job and transition to full-time property management

7. 30-Day Implementation Action Plan

Immediate steps to activate your wealth plan and start generating tax savings within 30 days.

Week 1: Foundation Setup

Day 1-2: Financial Account Consolidation

Review all current accounts and prepare for new account openings. Gather tax returns, bank statements, and business formation documents.

Day 3-4: W-4 Optimization

Use IRS Tax Withholding Estimator to calculate proper withholding. Submit new Form W-4 to employer HR department. Target: +\$540/month take-home starting next paycheck.

Day 5-7: Emergency Fund Build

Open high-yield savings account (5.0-5.5% APY) with CIT Bank, Marcus by Goldman Sachs, or Ally Bank. Transfer \$5,000-9,000 current liquid cash. Set up automated \$500/week transfers from checking until \$18,000 target reached.

Week 2: Business Structure & Retirement Accounts

Day 8-10: S-Corporation Election Filing

Work with your CPA to complete Form 2553 (S-Corp election). File within 75 days of LLC formation or by March 15 for current-year election. Obtain EIN if not already done.

Day 11-12: Solo 401(k) Opening

Open Solo 401(k) with Fidelity or Schwab (both offer Bitcoin/crypto ETFs in 401k). Complete adoption agreement. Designate 75% to Bitcoin ETFs (IBIT, FBTC), 25% to stable value funds.

Day 13-14: Backdoor Roth IRA Setup

Open Traditional IRA and Roth IRA at same institution as Solo 401k. Contribute \$8,000 to Traditional IRA (non-deductible). File Form 8606 with 2025 tax return noting non-deductible contribution.

Week 3: Tax Deduction Strategies

Day 15-17: Home Office Documentation

Measure home office square footage and photograph space showing exclusive business use. Create floor plan diagram. Calculate business percentage of home (office sq ft ÷ total home sq ft). Gather

receipts: mortgage statement, property tax bill, insurance policy, utility bills for year.

Day 18-20: Augusta Rule Preparation

Research comparable rental rates for executive meeting spaces in Colorado area (Airbnb, VRBO, Peerspace). Draft rental agreement between you and your S-Corp. Schedule first 3-4 board meetings for Q1 with detailed agendas.

Day 21: Accountable Plan Creation

Draft written accountable plan policy with your CPA. Create expense report template. Identify business expenses for spouse or adult children to track: mileage, cell phone, internet, professional development.

Week 4: Professional Coordination & STR Planning

Day 22-24: CPA Strategic Planning Meeting

Schedule 90-minute meeting with proactive CPA to review this wealth plan. Discuss S-Corp reasonable compensation determination, Solo 401k contribution strategy, estimated quarterly tax payments, and Roth conversion modeling for next 5 years.

Day 25-27: HELOC Application

Apply for HELOC on primary residence with \$560K equity. Shop 3 lenders for best rate (expect prime + 0.5-1.0% = 8.5-9.5% currently). Target credit line: \$100,000-150,000. Don't draw funds yet, establish availability for future STR purchase.

Day 28-30: STR Market Research Launch

Subscribe to AirDNA (\$50/month) for Colorado market data. Create spreadsheet tracking: Property address, listing price, estimated annual revenue, occupancy rate, ADR (average daily rate), HOA fees, STR restrictions. Target neighborhoods: Breckenridge, Estes Park, Grand Lake.

30-Day Checkpoint: By end of month one, you should have: (1) W-4 optimization active (+\$540/month), (2) Emergency fund process started, (3) S-Corp and Solo 401k paperwork filed, (4) Home office documented, (5) CPA meeting completed, (6) HELOC approved, (7) STR research underway. These foundational actions position you for \$14,265+ in year-one tax savings and begin the path to retirement through real estate.

8. Bitcoin Accumulation Strategy

Bitcoin serves as your primary wealth accumulation vehicle over the 5-6 year retirement timeline. The combination of tax-advantaged accounts and disciplined dollar-cost averaging creates a systematic approach to building meaningful Bitcoin holdings.

Why Bitcoin for Your Timeline

- **5-Year Historical Performance:** Bitcoin has never produced negative returns over any 5-year holding period in its history. Your 5-6 year retirement timeline aligns with this pattern.
- **Limited Supply:** 21 million maximum supply (19.6M already mined) creates scarcity value as adoption increases
- **Institutional Adoption:** BlackRock, Fidelity, and 11 other spot Bitcoin ETFs launched January 2024, enabling retirement account access
- **Inflation Hedge:** Fixed supply protocol provides protection against dollar debasement over your working years
- **Tax-Advantaged Growth:** Holding in Solo 401k and Roth IRA eliminates capital gains tax on appreciation

Recommended Allocation: 75% of New Capital

Account Type	Annual Contribution	Bitcoin Allocation (75%)	5-Year Total
Solo 401(k)	\$20,000	\$15,000/year	\$75,000
Backdoor Roth IRA	\$16,000 (both spouses)	\$12,000/year	\$60,000
Taxable Account (W-4 cash flow)	\$18,000 (\$1,500/mo × 12)	\$13,500/year	\$67,500
Total 5-Year Bitcoin Investment		\$202,500	

Implementation Approach

Tax-Advantaged Accounts (Solo 401k & Roth IRA)

Investment Vehicle: iShares Bitcoin Trust ETF (IBIT) or Fidelity Wise Origin Bitcoin Fund (FBTC)

Contribution Frequency: Quarterly lump sums when business income allows

Rebalancing: Annual review to maintain 75% Bitcoin / 25% stable value split

Growth Assumption: Conservative 10-15% annualized over 5 years (below historical average)

Taxable Account (W-4 Cash Flow)

Investment Vehicle: Direct Bitcoin purchases via Coinbase, Swan Bitcoin, or River Financial

Purchase Schedule: Automated \$1,500/month on 1st of each month

Storage: Move to cold storage (hardware wallet) once account reaches \$25,000+

Tax Strategy: Hold >1 year for long-term capital gains rates; harvest losses during corrections to offset W-2 income (up to \$3,000/year)

9. Roth Conversion Strategy

Age 56 positions you in the optimal window for strategic Roth conversions. Your retirement timeline creates a 5-year opportunity to move pre-tax retirement funds into Roth accounts at favorable rates before retirement income drops.

Why Convert Now (Ages 56-61)

- **Current High Income:** Converting while earning \$200-299K keeps you in 24% bracket (vs. potentially 12% in retirement), but marginal rate of 28.5% is acceptable given long-term tax-free growth
- **5-Year Rule Timing:** Conversions at age 56-58 become accessible at age 61-63 (before traditional retirement age), providing early access without penalty
- **RMD Avoidance:** Moving funds to Roth eliminates Required Minimum Distributions at age 73, providing tax planning flexibility
- **Tax-Free Inheritance:** Roth accounts pass to adult children tax-free, supporting your goal of leaving inheritance
- **Business Deductions:** Your side business creates deductions that reduce AGI, allowing larger conversions while staying in 24% bracket

Annual Conversion Framework

Year	Your Age	Conversion Amount	Tax Owed	5-Year Access Date
2026	57	\$50,000	\$14,250	2031 (age 62)
2027	58	\$50,000	\$14,250	2032 (age 63)
2028	59	\$60,000	\$17,100	2033 (age 64)
2029	60	\$60,000	\$17,100	2034 (age 65)
2030	61	\$60,000	\$17,100	2035 (age 66)
5-Year Total Converted		\$280,000	\$79,800	

Tax Payment Strategy: Pay conversion taxes from current-year cash flow, never from the IRA itself. Paying from IRA reduces amount converted and incurs penalties if under age 59½. Budget \$14,000-17,000 annually for conversion taxes from January-April the following year.

10. Entity Structure Optimization

Your current Single-Member LLC structure provides a foundation, but the S-Corporation election creates significant tax savings and positions you for future real estate entity planning.

Current Structure

Single-Member LLC (Colorado) - Operating Business

Current Status: Formed within last 6 months, taxed as sole proprietorship (Schedule C)

Challenge: All \$20,000 NET profit subject to 15.3% self-employment tax = \$3,060 to IRS/Social Security

Solution: S-Corp election splits income into W-2 salary (FICA applies) and distributions (FICA exempt)

Recommended Structure (Phase 1 - Year 1)

Operating LLC Elected as S-Corporation

Entity Name: [Your Operating LLC Name], S-Corp

Purpose: Consulting business, 1099 income operations

Tax Treatment: S-Corporation (Form 1120-S)

Salary Strategy: Pay yourself \$8,000-10,000 W-2 salary (40-50% of profit), remaining \$10,000-12,000 as distributions

Employee Benefits: Spouse or adult children on payroll for accountable plan reimbursements

Retirement Plan: Solo 401(k) sponsored by S-Corp allowing \$20,000 annual contributions

Future Structure (Phase 2 - When STR Acquired)

Holding LLC for Real Estate

Entity Name: [Your Name] Property Holdings LLC

Purpose: Own 1-3 short-term rental properties

Tax Treatment: Multi-Member LLC or Series LLC (consult attorney)

Liability Protection: Separate LLC for real estate isolates property liabilities from operating business

Rental Income: Flows to you personally (Schedule E), not to S-Corp

11. Insurance & Protection Strategy

Current Coverage Review Needed

- **Health Insurance:** Not HDHP eligible, missing \$4,300/year HSA contributions + \$1,225 tax savings. Consider switching to HDHP at next open enrollment if medical costs are low.
- **Life Insurance:** Ensure adequate coverage through employer or term policy to protect spouse and cover mortgage if anything happens during accumulation phase
- **Disability Insurance:** Critical at age 56 with 5-6 years to retirement. Ensure 60-70% income replacement if unable to work.
- **Umbrella Policy:** Once STR properties acquired, obtain \$1-2M umbrella policy (\$300-500/year) for liability protection beyond standard landlord coverage
- **STR-Specific Insurance:** Each rental property needs specialized short-term rental policy (not standard landlord policy). Expect \$2,000-2,500/year per property.

12. Professional Team Coordination

Your existing CPA and attorney provide strong foundation. Coordinate implementation with these professionals and consider adding specialists as STR strategy develops.

Current Team Utilization

CPA / Tax Professional (Proactive)

Immediate Projects:

- Review this wealth plan and validate tax strategy selection for your situation
- Assist with Form 2553 (S-Corp election) filing and reasonable compensation determination
- Establish quarterly estimated tax payment schedule for 2026
- Model Roth conversion scenarios for ages 57-61 to optimize bracket management
- Prepare documents for Augusta Rule, Accountable Plan, Home Office deduction

Quarterly Reviews: 30-minute check-ins to adjust estimated payments, review business income, plan year-end moves

Annual Tax Planning: November/December meeting to implement strategies before year-end

Attorney / Estate Planner

Immediate Projects:

- Review S-Corp operating agreement and ensure compliant with Colorado requirements
- Draft or review Augusta Rule rental agreement between you and S-Corp
- Plan for separate LLC creation when STR property acquired (liability isolation)

Estate Planning Review: Update wills, beneficiaries, powers of attorney to reflect retirement accounts and future rental properties

Potential Future Additions

- **Real Estate Investor CPA:** When first STR acquired, consider specialist familiar with material participation rules, cost segregation, and vacation rental taxation
- **Property Manager:** If scaling to 3+ properties becomes overwhelming, hire local property manager for 15-20% of gross revenue
- **Bookkeeper:** As STR operations grow, outsource monthly bookkeeping to stay organized for tax time

13. Retirement Cash Flow Projection

Your retirement income strategy centers on building \$60,000-90,000 in annual passive income from 2-3 short-term rental properties, supplemented by tax-advantaged retirement account distributions.

Target Retirement Budget (Age 61-62)

Expense Category	Monthly Amount	Annual Amount
Housing (mortgage, tax, insurance, utilities)	\$2,500	\$30,000
Living Expenses (food, gas, household)	\$2,000	\$24,000
Healthcare (Medicare supplement, prescriptions)	\$800	\$9,600
Travel & Leisure	\$1,500	\$18,000
Discretionary & Gifts	\$1,000	\$12,000
Total Annual Need		\$93,600

Projected Retirement Income Sources (Age 62)

Income Source	Annual Amount	Tax Characteristics
Short-Term Rental NET Income (2-3 properties)	\$60,000 - \$90,000	Offset by depreciation, potentially \$0 taxable
Roth IRA Distributions (tax-free)	\$15,000 - \$20,000	100% tax-free after age 59½
Social Security (if claimed early)	\$24,000 - \$30,000	85% taxable in retirement
401(k) Distributions (as needed)	\$0 - \$15,000	Ordinary income, defer until age 73 RMDs
Total Projected Income	\$99,000 - \$155,000	Exceeds \$93,600 annual need

Retirement Tax Planning: Your rental property depreciation deductions will likely eliminate taxable income from STR operations, creating a scenario where you live on \$60K-90K tax-free cash flow. Supplement with Roth distributions (tax-free) and small amounts from pre-tax accounts to stay in 10-12% bracket. Delay Social Security to age 67-70 if possible for 24-32% higher lifetime benefits.

14. First-Year Financial Impact Summary

This table consolidates every financial benefit from your wealth plan's first year of implementation. All tax savings, cash flow improvements, retirement contributions, and debt elimination strategies are quantified to show your total annual value.

#	Category / Strategy	Annual Value	Type	Status
TAX SAVINGS (Direct Reduction in Tax Liability)				
1	Solo 401(k) Contribution Max	\$5,700	Tax Savings	Year 1
2	S-Corporation Election	\$3,060 - \$4,560	Tax Savings	Year 1
3	Home Office Deduction	\$1,140 - \$1,425	Tax Savings	Year 1
4	Augusta Rule (14-day rental)	\$1,425 - \$2,000	Tax Savings	Year 1
5	Accountable Plan (spouse reimbursements)	\$855 - \$1,140	Tax Savings	Year 1
Subtotal: Tax Savings		\$12,180 - \$14,825		
CASH FLOW IMPROVEMENTS (More Take-Home Pay)				
6	W-4 Withholding Optimization	+\$6,500	Cash Flow	Year 1
Subtotal: Cash Flow Boost		+\$6,500		
RETIREMENT WEALTH BUILDING (Tax-Advantaged Growth)				
7	Solo 401(k) Contribution (75% to Bitcoin)	\$20,000 invested	Retirement	Year 1
8	Backdoor Roth IRA (both spouses)	\$16,000 invested	Retirement	Year 1
9	Taxable Bitcoin DCA (W-4 cash flow)	\$18,000 invested	Investment	Year 1
Subtotal: New Capital Invested		\$54,000		
DEBT & EMERGENCY FUND (Financial Security)				

#	Category / Strategy	Annual Value	Type	Status
10	Emergency Fund Build (1-2mo → 6mo)	\$18,000 target	Liquidity	Year 1
11	Current Non-Mortgage Debt	\$0 (debt-free)	Advantage	Maintained
12	HELOC Establishment (no draw)	\$100,000+ available	Optionality	Year 1
FUTURE VALUE SETUP (Year 2-5 Positioning)				
13	STR Property Research & Planning	Foundation laid	Preparation	Year 1
14	Roth Conversion Framework (\$50K/year × 5 years)	\$280K pathway	Tax Planning	Years 2-6
15	S-Corp Structure for Future Growth	Scalable entity	Structure	Year 1
TOTAL YEAR-ONE FINANCIAL IMPACT		\$18,680 - \$21,325		
Tax Savings Component		\$12,180 - \$14,825		
Cash Flow Improvement Component		+\$6,500		
New Capital Deployed to Wealth Building		\$54,000		

Key Insight: Compound Effect Over 5 Years

If you maintain these strategies consistently through retirement:

- **Tax Savings:** $\$12,180 - \$14,825 \times 5 \text{ years} = \$60,900 - \$74,125 \text{ saved}$
- **Cash Flow:** $\$6,500 \times 5 \text{ years} = \$32,500 \text{ additional capital}$
- **Invested Capital:** $\$54,000 \times 5 \text{ years} = \$270,000 \text{ deployed to Bitcoin + retirement accounts}$
- **Bitcoin Growth:** $\$270,000 @ 15\% \text{ annualized} = \$542,000 \text{ estimated value at retirement}$

- **STR Portfolio:** 2-3 properties generating **\$60,000-90,000 annual passive income**

Combined Effect: You retire at age 61-62 with **\$542,000+** in Bitcoin holdings, **\$700,000+** in retirement accounts, and **\$60,000-90,000** in annual STR income replacing your W-2 salary.

Implementation Reminder: These results require consistent execution across all strategies. Work closely with your CPA and attorney to ensure compliant implementation. Review and adjust quarterly as business income and life circumstances evolve. The first 90 days are critical to establish the foundation.

Wealth Plan Prepared For: Julie Martin

Preparation Date: December 2025

Plan Horizon: 5-6 Years to Retirement (Age 61-62)

This plan reflects your unique financial situation, goals, and timeline. Review with your CPA and attorney before implementation. Update annually as circumstances change.